

the utility function that we originally assumed. Since our investor failed to act in the way we prescribed, let's better characterize how the investor perceives risk. This is positive economics.

I concentrate on normative asset management. That is, I give prescriptive advice for what asset owners should do. It turns out that most people and institutions do not, unfortunately, invest the way optimal theory tells them. For example, the theory that we develop advocates:

- Diversifying widely

But many individuals hold concentrated positions in their employers' stock. Many also suffer from home bias and thus fail to invest overseas. (We take up these issues in the next chapter.)

- Rebalancing

But many asset owners fail to rebalance, since it involves buying assets that have lost value. Why, they wonder, should I buy a loser? (see chapter 4).

- Dis-saving after retirement

Many individuals actually continue to save when they enter retirement instead of dis-saving as predicted by lifecycle models (see chapter 5). Annuities are also predicted to be very good investments for retirees, but sadly few hold annuities.

- Using factors, not asset class labels, in investing

Putting a label on a type of financial intermediary does not make them new investment classes. Putting "private" in front of "equity," for instance, does not create an asset class called "private equity." Calling a collection of funds "absolute return strategies" does not make them so. Few investors delve into the underlying factor drivers of their portfolio returns (see chapter 14).

- Recognizing that your asset manager is not your friend

Agency issues permeate the asset management industry. People often do not give asset managers the proper incentives or monitor them correctly (see chapter 15).

Many investors fail to follow normative advice because of behavioral tendencies, poor governance, or the inability to be time consistent. Couching normative recommendations in ways that mitigate these effects is a newly developing science that takes into account the way people respond to framing and incentives.¹² We will discuss many of these issues in the chapters to come. Meanwhile, bear in mind that the best normative frameworks take into account the behavioral or institutional settings that hinder asset owners from following sound advice, especially advice given in traditional ways. Good normative structures also take into account the possibility that the asset owner will fail and give advice specifically for these contingencies.

¹² See Thaler and Sunstein (2009), among others.